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US Economic Update: August 24, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	18-Aug-26	14-Aug-26	13-Aug-26	12-Aug-26	11-Aug-26	7-Aug-26
	4.0	4.3	4.8	4.8	4.7	4.7

Fiscal pressures mount as US long-term Treasury yields rise

- The national debt in the United States crossed US$40 trillion for the first time in August, adding to concerns about the country's fiscal health. Government borrowing needs due to a high fiscal deficit and a surge in corporate bond issuance, primarily for AI-related investment, have increased the amount of fixed income assets competing for investors' attention. Investors, as a result, are demanding higher returns. For example, the 30-year Treasury yield rose to 5.31% on August 17, the highest since 2007. As yields rise, debt servicing costs have increased for the US government: Net interest expenditure is now competing with Medicare for the second-highest spending category for the US government, after Social Security. High debt and deficit levels offer the US government limited fiscal space to respond to any future economic shocks.
- Housing starts fell 12.4% in July to a seasonally adjusted annual rate of 1.24 million units. This was a reversal from a 19.7% increase in the previous month. Starts for multifamily homes fell 16.8% during the month, while single-family starts declined 9.9%. Compared to a year ago, total housing starts were down 13.5% in July. Building permits, a leading indicator of future construction activity, rose 5% in July and were up 3.1% from a year earlier. Overall, the housing market remains subdued as elevated mortgage rates, rising construction costs, and economic uncertainty continue to weigh on both housing demand and supply.
- Minutes of the Federal Open Market Committee (FOMC) meeting in July shows that members remained concerned about elevated inflation despite solid economic growth and stable labor market conditions. Price pressures remained broad-based, reflecting past tariff increases, higher energy and input costs from the Middle East conflict, and strong demand related to the AI buildout. Most members expect inflation to ease but remain higher than the FOMC's 2% target, especially if the Middle East conflict prolongs supply disruptions. With inflation risks rising amid healthy economic growth, the minutes indicate that some committee members are increasingly signaling a bias toward monetary tightening.
- Total industrial production rose 0.2% in July, with gains across all three major industry groups. Utilities output increased 0.5% in July, while mining output rose 0.2%. Growth in manufacturing, however, was low at 0.1%.

Figure 1. US national debt surpassed US$40 trillion in August, and the 30-year Treasury yield reached its highest level since 2007

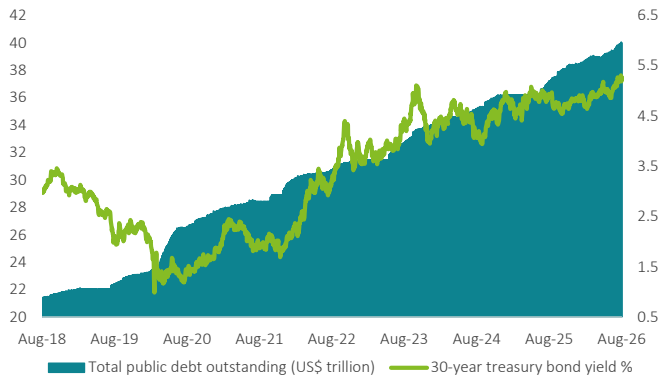


Figure 2. Elevated mortgage rates, rising construction costs and economic uncertainty continue to weigh on housing demand and builder sentiment



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Jul change	3-month avg ch	12-month avg ch	Trend
-23,000	20,000	26,000	

Unemployment rate

Jul value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.1	-0.1	-0.2	

Real disposable personal income

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.1	0.5	

Real personal consumer expenditure

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.9	2.5	

Nominal retail sales

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.6	0.6	5.0	

Conference Board consumer confidence index

Jul value	1-month ch	3-month ch	Trend
90.8	-1.4	-3.0	

Housing permits

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
5.0	1.4	3.1	

Manufacturing industrial production

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.4	1.2	

Shipments of core capital goods

Jun growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
2.0	2.8	9.4	

Trade balance

Jun value (US$ billion)	1-month ch	3-month ch	Trend
-73.3	4.4	-16.7	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
1.5	2.1	2.1	

Corporate profits

Q1 2026 (%, QoQ, SAAR)	Q4 2025	1-year ch (%)	Trend
7.0	26.3	12.8	

Financial markets

Equity markets

S&P 500 on Aug 21	1-week ch (%)	1-year ch (%)	Trend
7674.4	-1.4	18.7	

Treasury yield spread (10 yr - 2 yr)

Spread on Aug 21	1-month ch(ppts)	3-month ch(ppts)	Trend
0.50	0.13	0.0	

CBOE volatility index (VIX)

VIX on Aug 21	1-week ch	4-week ch	Trend
15.1	0.9	-3.6	

Kansas City Fed financial stress index (KCFSI)

Jul index	1-month ch	3-month ch	Trend
-0.9	-0.1	-0.1	

Inflation

Consumer price index (CPI)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.1	3.4	

Core CPI (CPI excluding food and energy)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.4	2.5	

Core PCE (PCE price index excluding food and energy)

Jun change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.7	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.